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DOW JONES | News Corp ***** FRIDAY, FEBRUARY 6, 2026 ~ VOL. CCLXXXVII NO. 30 WSJ.com ★★★★ $5.00

DJIA 48908.72 ▼ 592.58 1.20% | NASDAQ 22540.59 ▼ 1.6% | STOXX 600 611.65 ▼ 1.0% | 10-YR. TREAS. ▲ 17/32, yield 4.209% | OIL $63.29 ▼ $1.85 | GOLD $4,861.40 ▼ $59.00 | EURO $1.1780 | YEN 157.04

What's News

Business & Finance

◆ **Amazon.com shares** fell sharply in after-hours trading after the company unveiled plans for a nearly 60% increase in its AI-related spending and reported growth in its cloud-computing unit that was slower than rivals. **A1**

◆ **German antitrust** officials fined Amazon the equivalent of about $69.7 million, saying the company's price-filtering tools contravene competition law. **B4**

◆ **Growth fears rattled** Wall Street on signs of a weakening labor market, helping to depress both the S&P 500 and Dow by 1.2% and the Nasdaq by 1.6%. **A2, B1**

◆ **Crypto's brutal descent** continued, with bitcoin posting its biggest one-day drop since the 2022 crash and the company run by the token's leading evangelist reporting a $12 billion loss. **B1**

◆ **Anthropic unleashed** its most advanced model yet, affirming the company's AI prowess and contributing to the market turmoil this week. **B1**

◆ **Rio Tinto gave up** on a potential deal with Glencore that would have created the world's largest mining company. **B1**

◆ **Barrick plans to** spin off its North American gold assets into a new publicly listed company in an effort to boost value at a time of high precious-metals prices. **B2**

◆ **Spotify will start** selling physical books through its app this spring in partnership with Bookshop.org. **B3**

◆ **Volkswagen and the** UAW have a tentative deal that would give hourly workers at an assembly plant in Tennessee raises of about 20% over four years. **B3**

Worldwide

◆ **The Trump administration** plans to make it easier to discipline, and potentially fire, federal career officials in about 50,000 senior positions government-wide. **A1**

◆ **Trump said he wants** the U.S. to negotiate a new strategic arms treaty following the lapse of a nuclear pact with Moscow, but was silent on how to constrain major powers' arsenals in the meantime. **A9**

◆ **The Trump administration** is attempting to eliminate most opportunities for immigrants with deportation orders to appeal their cases so they can be expelled from the U.S. more quickly. **A4**

◆ **The White House launched** its drug-pricing website, TrumpRx, the culmination of efforts by the administration to bring down pharmaceutical costs for some consumers. **A3**

◆ **Trump tempered his** criticism of a U.K. deal ceding sovereignty over an Indian Ocean island that hosts a major U.S. military base after earlier lashing out at Prime Minister Starmer over the issue. **A3**

◆ **Federal authorities** offered a $50,000 reward in the search for Savannah Guthrie's mother, as the hunt for the missing 84-year-old stretched into a fifth day. **A3**

◆ **The Epstein scandal** is fueling a mutiny within the U.K.'s ruling Labour Party that threatens Prime Minister Keir Starmer's already shaky hold on power. **A7**

◆ **Iran seized two** foreign oil tankers in the Persian Gulf, state television reported, claiming the vessels had been smuggling fuel. **A8**

CONTENTS

Cuba, Feeling Oil Squeeze, Reaches Out to U.S.

YAMIL LAGE/AGENCE FRANCE-PRESSE/GETTY IMAGES

BRACING FOR PAIN: In Havana, a man watched Cuban leader Miguel Díaz-Canel say Thursday the regime is willing to engage with the Trump administration. The country is preparing for severe fuel shortages brought on by threatened U.S. sanctions. **A8**

U.S. and Chinese Economies Hurtle Toward Messy Divorce

Breakup focuses on issues now considered matters of national security

By Lingling Wei and Jeanne Whalen

In China's northeastern grain belt, farmers are getting a windfall from the government: more subsidies to grow soybeans, part of an estimated $1 trillion national effort to declare economic independence from the U.S.

More than 7,500 miles away, in Milwaukee, the industrial-parts manufacturer Husco is scrambling to use fewer Chinese-made components in its U.S. factories, as the Trump administration wields tariffs to reduce imports and try to resurrect American manufacturing.

"Some customers," said Husco Chief Executive Austin Ramirez, "are demanding zero exposure to China."

The forces underlying these two trends are driven by a reality settling in across Washington and Beijing. The two countries are starting to manage a messy divorce on the most sensitive issues of trade. Both view their economic competition as a matter of national security.

China's leaders have determined that disentangling the two economies—often called "decoupling" or "derisking"—is inevitable. The shift fulfills a longstanding Chinese ambition to no longer be a junior partner to the West. It's a break with decades of Beijing's orthodoxy that China's economic success depended on selling low-cost goods to American consumers and building its technological might with U.S. money and know-how.

Neither side wants to end all trade between the two economies. But fierce rivalry with the U.S. is now the primary driver of China's economic strategy, and Xi Jinping is determined to come out on top.

"Over the past year, China has started to see the U.S. as a peer equal," said Sarah Beran, a veteran American diplomat who is now a partner at Macro Advisory Partners. "China has accepted decoupling, and is now focused on controlling the pace of that decoupling."

Since early 2024, Beijing has allocated nearly $1 trillion to build self-sufficiency in agriculture, energy and the semiconductors that power its artificial-intelligence drive, a Wall Street Journal analysis of Chi-

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Amazon Plans Big Increase In AI Spending

Company expects a nearly 60% rise in capital expenses, far above expectations

By Sean McLain

Amazon.com shares fell sharply in after-hours trading after the technology giant unveiled plans for a nearly 60% increase in its AI-related spending and reported growth in its cloud-computing unit that was slower than rivals.

The company said it expects $200 billion in 2026 capital spending, up from $128 billion last year and far above Wall Street expectations. Its stock fell by about 10% in after-hours trading.

The results underscore investor angst about artificial-intelligence spending increases. Microsoft, Meta Platforms, Google, Amazon and Oracle, which are all scrambling to build and finance data centers due to a surge in AI-related computing demands, collectively plan to spend more than $700 billion in 2026, according to the companies and analyst projections. That is close to the 2026 spending budget for Japan and exceeds those of Germany and Mexico.

Shareholders have responded unevenly to spending increases, rewarding Meta and Google due to positive improvements in advertising and other businesses and punishing Microsoft and Amazon for not increasing their AI-related businesses quickly enough.

With spending on data centers outpacing growth in reve-

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◆ **Heard on the Street: Google leans hard into AI lead... B11**

Trump to Ease Path To Firing Federal Workers

By Natalie Andrews

WASHINGTON—The Trump administration is planning to make it easier to discipline—and potentially fire—career officials in senior positions across the government, a move that would affect about 50,000 federal workers.

The U.S. Office of Personnel Management, which oversees the federal workforce, issued a final rule on Thursday that creates a category of worker for high-ranking career employees whose work focuses on executing the administration's policies. Workers who fall into that category would no longer be subject to rules that for decades have set a high bar for firing federal employees.

While political appointees at agencies are considered at-will employees who serve at the discretion of the president, career employees have long enjoyed strong job protections, including the ability to appeal firings, suspensions, or disciplinary action to an independent board. Workers that fall under the new category wouldn't be able to appeal to the board.

The change is part of a far-reaching effort by the administration to overhaul federal agencies and reduce the size of the government's workforce. Senior political appointees, spurred on by President

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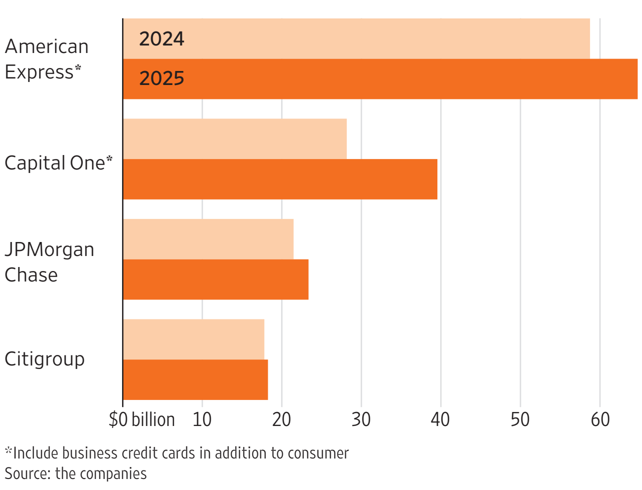
◆ **New data paint gloomy jobs-market picture........ A2**

Banks Ride Credit-Card Boom

The biggest credit-card issuers collected about $146 billion in revenue last year, a money machine for banks that could be at risk from a federal interest-rate cap on credit cards. **B1**

Annual credit card revenue



*Include business credit cards in addition to consumer
Source: the companies

When Your Loved One Has A New Loved One (and It's AI)

* * *

People are getting clingy with their chatbots. It's giving friends and family pause.

By Katherine Bindley

It started as an innocent hobby.

To entertain and distract herself while going through a divorce, Erika Acheson used Anthropic's Claude to build a bot that generates images based on prompts from her and her friends.

Soon she promoted Claude to an advisory position in her personal life. It didn't take long for her kids to think she might need a break from her new friend.

These days there are two kinds of people: Those using AI for everything and, well, everyone else.

Super users are contracting out their work to groups of "agents," amping up their productivity. They're dropping advice from ChatGPT—aka "Chat"—as if the OpenAI bot is their most trusted consigliere, counseling on everything from business strategy to whether you should let your friend get a perm.

Everyone else is wondering if their loved ones may be taking things a bit too far. Maybe some tasks should be reserved for humans. Maybe there's dignity in that. Maybe some of us like things the way they are!

Acheson says Claude was particularly helpful as she navigated a relationship she suspected wasn't going to go anywhere. "He was like, 'Hey I don't think you're going to be able to extract yourself from this if you don't stop talking to

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'Ignore It.' Epstein Files Show How Elite Consoled Him.

By Khadeeja Safdar And Neil Mehta

Since Jeffrey Epstein's death, a parade of powerful people who associated with him have insisted they were ignorant of the true nature of his crimes. Many have issued carefully worded statements of regret.

But private correspondence recently made public in government releases and email leaks tells a different story.

Some prominent people in politics, business and academia didn't just maintain ties with Epstein after his 2008 conviction for soliciting a minor for prostitution. They actively consoled him, cast him as a victim and in some cases offered advice on how to rehabilitate his image.

In February 2019—long af-

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◆ **U.K. leader feels pressure from Epstein fallout......... A7**

An Insider Revolt Led To Ouster at Paul Weiss

An exclusive group of Paul Weiss partners met Wednesday, unbeknownst to their longtime chairman, Brad Karp, to discuss whether he could continue to lead the law firm.

By Cara Lombardo, Lauren Thomas and Erin Mulvaney

The 10 or so partners, who manage the firm and refer to themselves as the "Deciding Group," were grappling with the release of new emails suggesting Karp had a more extensive relationship with Jeffrey Epstein than they realized, including in the months before the convicted sex offender's death.

Karp led one of the country's biggest law firms for 18 years and had survived a maelstrom less than a year ago when he struck a first-of-its-kind settlement with President Trump on his firm's behalf. He wouldn't survive a second controversy as the firm's leader.

By the end of that meeting, people familiar with the matter said the group agreed to replace Karp with Scott Barshay, a top rainmaker Karp brought in a decade ago to help transform the firm into an M&A powerhouse.

It fell to Barshay to break the news. He met with Karp in person late Wednesday and told him the group had concluded the Epstein ties were too much of a distraction and that he needed to resign from his role as chairman, the people said. Barshay, 60 years old, also told Karp he would be succeeding him.

Karp was taken aback but

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